

Or if you own a Goodyear tire store and suddenly after three years of sluggish sales you notice that you can't keep up with new orders, you've just received a strong signal that Goodyear may be on the rise. You already know that Goodyear's new high-performance tire is the best. You call up your broker and ask for the latest background information on the tire company, instead of waiting for the broker to call to tell you about Wang Laboratories.

Unless you work in some job that's related to computers, what good is a Wang tip to you? What could you possibly know that thousands of other people don't know a lot better? If the answer is "nada," then you haven't got an edge in Wang. But if you sell tires, make tires, or distribute tires, you've got an edge in Goodyear. All along the supply lines of the manufacturing industry, people who make things and sell things encounter numerous stockpicking opportunities.

It might be a service industry, the property-casualty insurance business, or even the book business where you can spot a turnaround. Buyers and sellers of any product notice shortages and gluts, price changes and shifts in demand. Such information isn't very valuable in the auto industry, since car sales are reported every ten days. Wall Street is obsessed with cars. But in most other endeavors the grass-roots observer can spot a turnaround six to twelve months ahead of the regular financial analysts. This gives an incredible head start in anticipating an improvement in earnings—and earnings, as you'll see, make stock prices go higher.

It doesn't have to be a turnaround in sales that gets your attention. It may be that companies you know about have incredible hidden assets that don't show up on the balance sheet. If you work in real estate, maybe you know that a department store chain owns four city blocks in downtown Atlanta, carried on the books at pre-Civil War prices. This is a definite hidden asset, and similar opportunities might be found in gold, oil, timberland, and TV stations.

You're looking for a situation where the value of the assets per share exceeds the price per share of the stock. In